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Act No.	*Short Title*	*Page*
34	National Agricultural Development Fund (Establishment) Act, 2022	A1091-1103

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NATIONAL AGRICULTURAL DEVELOPMENT FUND (ESTABLISHMENT) ACT, 2022

ARRANGEMENT OF SECTIONS

Section :

PART I — ESTABLISHMENT OF THE NATIONAL AGRICULTURAL DEVELOPMENT FUND AND THE GOVERNING BOARD

1. Establishment of the National Agricultural Development Fund.
2. Sources of the Fund.
3. Establishment of the Governing Board.
4. Qualifications of members.
5. Tenure of members.
6. Cessation of membership.
7. Allowances of member.

PART II — FUNCTIONS OF THE FUND AND POWERS OF THE BOARD

8. Functions of the Fund.
9. Powers of the Board.

PART III — APPOINTMENT OF THE EXECUTIVE SECRETARY AND OTHER STAFF

10. Appointment of the Executive Secretary.
11. Functions of the Executive Secretary.

PART IV — FINANCIAL PROVISIONS

12. Account.
13. Expenditure.
14. Annual accounts and estimates.
15. Annual report, audited accounts and auditor's report.
16. Power to accept gift.
17. Power to borrow.

PART V — LEGAL PROCEEDINGS

18. Limitation against suit.
19. Service of documents.
20. Restriction on execution.
21. Indemnity.
22. Directives.

23. Directions by the Minister.
24. Power to make regulations.
25. Affixing of seal.
26. Interpretation.
27. Citation.

SCHEDULE

NATIONAL AGRICULTURAL DEVELOPMENT FUND (ESTABLISHMENT) ACT, 2022

ACT No. 34

AN ACT TO ESTABLISH THE NATIONAL AGRICULTURAL DEVELOPMENT FUND FOR THE PURPOSE OF PROVIDING FUNDING FOR AGRICULTURAL DEVELOPMENT IN NIGERIA ; AND FOR RELATED MATTERS.

[28*th Day of October,* 2022] Commencement.

ENACTED by the National Assembly of the Federal Republic of Nigeria—

PART I — ESTABLISHMENT OF THE NATIONAL AGRICULTURAL DEVELOPMENT FUND AND THE GOVERNING BOARD

Establishment of the National Agricultural Development Fund.

1.—(1) There is established the National Agricultural Development Fund (in this Act referred to as "the Fund").

(2) The Fund shall be a body corporate with perpetual succession and a common seal and may —

(*a*) sue and be sued in its corporate name ; and

(*b*) hold and dispose its property whether movable or immovable.

Sources of the Fund.

2.—(1) The Fund shall consist of —

(*a*) an amount constituting —

(*i*) 0.5% of the Natural Resource Development Fund, and

(*ii*) 5% of the duty levied on imported rice, wheat, sugar, milk, poultry and fish ;

(*b*) any take-off grant and special intervention fund as may be provided by the Federal, State and Local Government of the Federation ;

(*c*) such money as may be appropriated to meet the objective of this Act by the National Assembly in the budget ;

(*d*) aids, grants and assistance from international bilateral and multilateral agencies, non-governmental organisations and the private sector ;

(*e*) grants, donations, endowments, bequests and gifts, whether of money, land or any other property from any source ; and

(*f*) money derived from investment made by the Fund.

(2) Subsection (1) (*d*) and (*e*) are be acceptable to the Fund except where the terms and conditions attached are inconsistent with the objective of the Fund and the provisions of this Act.

Establishment of the Governing Board.

3.—(1) There is established for the Fund a Governing Board (in this Act referred to as "the Board").

(2) The Board shall consist of —

(*a*) a Chairman ;

(*b*) one representative each of —

(*i*) Federal Ministry responsible for Finance, Budget and National Planning,

(*ii*) the Federal Inland Revenue Service,

(*iii*) all Farmers Association of Nigeria,

(*iv*) all Livestocks, Fisheries and Poultry Associations in Nigeria,

(*v*) National Food Reserve Agency,

(*vi*) Bankers Association of Nigeria,

(*vii*) the organised private sector to represent special interest,

(*viii*) the Agricultural Research Council of Nigeria,

(*ix*) the Federal Ministry responsible for Agriculture and Rural Development, and

(*x*) the Federal Ministry responsible for Science and Technology;

(*c*) one person from each of the six geopolitical zones and should be rotational among the states in the zones at the end of each tenure; and

(*d*) the Executive Secretary.

(3) The Chairman and members shall be appointed by the President.

(4) The performance of the functions or exercise of the powers of the Board shall not be affected by a vacancy in the membership of the Board.

(5) The appointment of a member shall not be invalidated by a defect or irregularity in or in connection with his nomination or appointment.

(6) Members, other than ex-officio, shall be part-time members.

Schedule.

(7) The supplementary provisions set out in the Schedule to this Act shall have effect with respect to the proceedings of the Board and other matters contained in it.

Qualifications of members.

4. The Chairman and members shall hold qualifications in the discipline of —

(*a*) finance as it relates to agriculture, agricultural policy formulation and implementation ; or

(*b*) economics as it relates to agriculture, agricultural policy formulation and implementation.

Tenure of members.

5.—(1) A member other than ex-officio —

(*a*) shall hold office for a term of four years and no more ; and

(*b*) may hold office on such terms and conditions as may be specified in his letter of appointment.

(2) A member may, be removed from office by the President for inability to discharge the functions of his office (whether arising from infirmity of mind or body) or if the President considers that it is not in the interest of the Fund or the Public for the member to continue in office.

Cessation of membership.

6.—(1) A member may cease to hold office if —

(*a*) he is without permission of the Board absent for more than three consecutive meetings of the Board or without such permission is absent from the country for a period exceeding one year ;

(*b*) in case of a professional who is disqualified or suspended (other than at his own request) from practicing his profession in any part of Nigeria by the order of any competent authority ;

(*c*) a person shall cease to be a member if he —

(*i*) becomes bankrupt,

(*ii*) is guilty of serious misconduct in relation to his duties, or

(*iii*) is convicted of a felony or any offence involving dishonesty.

(2) A member may resign his membership —

(*a*) by giving notice in writing through the Minister to the President and the resignation becomes effective from the date specified in the notice ; and

(*b*) if no date is specified, from the date of the receipt of the notice by the President.

(3) Where a member ceases to hold office for any reason from the member's zone before the expiration of his term of office, the President, after consulting the Minister, may appoint another person from the member's zone for the unexpired term.

Allowances of member.

7. A member shall be paid such allowances as the Federal Government may direct.

PART II — FUNCTIONS OF THE FUND AND POWERS OF THE BOARD

Functions of the Fund.

8. The Fund shall —

(*a*) provide finance to support agricultural development in Nigeria taking into consideration the need to provide food production and food security in Nigeria, in all its ramifications including crop production, livestock, fisheries, poultry and agro-forestry ;

(*b*) provide finance for the implementation of agricultural policies and strengthen agricultural institutions within the framework on national priorities and strategies ;

(*c*) provide funds for on-lending to farmers and corporate bodies through financial institutions including microfinance banks, cooperative societies, organisations, farmer groups and institutions on appropriate soft terms ;

(*d*) provide finance primarily for the establishment of special agricultural offices in each State of the Federation, to boost food production system in Nigeria ;

(*e*) provide financial support in the form of grant for research, training, market information systems and agricultural extension service in research institutes, universities and ministries ;

(*f*) provide emergency fund for agriculture finance and intervention for the control of trans-boundary animal disease outbreak ;

(*g*) participate in the effort to build rural access to financial service through microfinance by creating linkages between upstream financial centre (including private-sector groups) and local organisation's serving rural poor people ;

(*h*) assist the efforts of donor institutions to increase food and agricultural production as well as the organisation's technical competence and experience in this field ; and

(*i*) engage in such activities and perform such functions as this Act may confer, or as the President may, after consultation with the Minister, permit or assign to it.

Powers of the Board.

9. The Board shall have powers to —

(*a*) make regulations for the management of the Fund with the approval of the Minister ;

(*b*) approve the annual budget of the Fund ;

(*c*) approve all grants for agricultural research, training and development ;

(*d*) approve loan for agricultural investment subject to paragraph (*b*) ;

(*e*) review and monitor the activities of the Fund ;

(*f*) approve payments (such as remunerations and allowances) to persons employed by the Fund ;

(*g*) give report on all activities of the Fund on quarterly basis through the Minister to the President ;

(*h*) specify the manner in which assets of the Fund are to be held and regulate payment into and out of the Fund ;

(*i*) specify the manner for the timely disbursement and recovery of loans ;

(*j*) require the keeping of proper accounts and records for the purposes of the Fund in such form as may be specified in the rules ;

(*k*) require the accounts of the Fund to be audited periodically by the Auditor-General for the Federation ;

(*l*) ensure the submission of copies of the accounts and the auditor's report to the Federal Executive Council through the Minister ;

(*m*) monitor the execution of projects ; and

(*n*) carry out such other activities as may be incidental to the performance of its function under this Act.

PART III — APPOINTMENT OF THE EXECUTIVE SECRETARY AND OTHER STAFF

Appointment of the Executive Secretary.

10.—(1) There shall be for the Fund an Executive Secretary who shall be appointed by the President.

(2) The Executive Secretary shall possess cognate experience in any of the following disciplines —

(*a*) agricultural finance ;

(*b*) economics ; or

(*c*) agricultural policy formulation and implementation.

(3) The Executive Secretary is the chief executive officer of the Fund, and shall be responsible for the administration of the Fund subject to the general directions of the Board.

(4) The Executive Secretary shall —

(*a*) hold office for a term of five years and no more ; and

(*b*) on such terms and conditions as are specified in his letter of appointment.

(5) Notwithstanding, the provision of subsection (4), the Executive Secretary may be removed from office by the President —

(*a*) for inability to perform the functions of his office, whether arising from infirmity of mind, body or any other cause, or for misconduct ; or

(*b*) if the President is satisfied that it is not in the interest of the Fund or the public for him to continue in office.

(6) The Executive Secretary may resign his appointment by a letter to the President through the Minister.

(7) The Board may deploy or appoint for the Fund other employees upon such terms and conditions as may be determined by the Board.

Act No. 4, 2014.

(8) Service in the Fund shall be approved service for the purpose of the Pensions Reform Act.

Functions of the Executive Secretary.

11. The Executive Secretary as the Secretary of the Board —

(*a*) shall keep proper records of the proceedings of the Board ;

(*b*) shall work closely with the implementation committee in discharging the duties and responsibilities assigned by the Board ;

(*c*) is in charge of the general direction and control of all other employees of the Fund ; and

(*d*) discharge such other duties as may be directed by the Board.

PART IV — FINANCIAL PROVISIONS

Account.

12.—(1) The Fund shall establish and maintain an account (in this Act referred to as "the Account") from which shall be defrayed all expenditure incurred by the Fund.

(2) There shall be paid into the Account —

(*a*) annual budgetary allocation appropriated by National Assembly for the management of the Fund ;

(*b*) take-off grants and such other money as may be made available to the Trust Fund to meet the cost of administration ; and

(*c*) all other money which may be made available for the running of the Fund.

Expenditure.

13.—(1) The Board may apply the proceeds of the Account to the —

(*a*) performance of the functions of the Fund ;

(*b*) cost of administration of the Fund ;

(*c*) payment of the allowances and benefits of members and for reimbursing members of any committee set up by the Board for such expenses as may be expressly authorised by the Board ;

(*d*) the payment of salaries, remuneration or allowances, pensions and other benefits payable to the officers, and other employees of the Fund ; and

(*e*) the development and maintenance of any property vested in or owned by the Fund.

(2) No payment under subsection (1) (d) shall be made to any person who is in receipt of emolument from the Federal or State Government, except as may be expressly authorised by the Board.

Annual accounts and estimates.

14.—(1) The Fund shall keep accounts in respect of each year and proper records in relation to those accounts and shall cause to be prepared in each year a statement —

(*a*) showing the income and expenditure of the Fund for the preceding year ; and

(*b*) of all assets and liabilities of the Fund as at the last day of the immediate preceding year.

(2) The Fund shall cause every statement prepared under this section to be audited within six months after the end of the year to which the statement relates by auditors appointed from the list and in accordance with the guidelines supplied by the Auditor-General for the Federation.

(3) The Fund shall submit to the Minister, not later than 31 August in each year, an estimate of its expenditure and income during the next succeeding year.

Annual report, audited accounts and auditor's report.

15.—(1) The Fund shall prepare and submit to the Minister not later than six months after the end of the year a report, in such form as the Minister may direct, on the activities of the Fund during the immediate preceding year and shall include in the report a copy of the audited accounts of the Fund for that year and auditor's report.

(2) The Minister shall submit a copy of each report made to him under this section to the Federal Executive Council.

Power to accept gift.

16.—(1) The Fund may accept any gift of land, money or other property on the terms and conditions, if any, as may be specified by the person or organisation making the gift.

(2) The Fund shall not accept any gift if the conditions attached by the person or organisation offering the gift are inconsistent with the functions and objectives of the Fund.

Power to borrow.

17.—(1) The Fund may borrow by way of overdraft or otherwise such sums as it may require for the performance of its functions under this Act.

(2) The Fund shall not, without the approval of the Minister, borrow money which exceeds at any time, the amount set by the Government as the limit of the authority of the Fund.

(3) Where the sum to be borrowed is in foreign currency, the Fund shall seek and obtain the approval of the Minister through the Board.

PART V — LEGAL PROCEEDINGS

Limitation against suit.

18.—(1) No suit shall be instituted in any court against the Fund or its employee unless it is commenced —

(a) within three months next after the act, neglect or default complained of ; and

(*b*) in the case of continuation of damage or injury, within three months next after the ceasing thereof.

(2) No suit shall be commenced against the Fund before the expiration of a period of one month after written notice of the intention to commence the suit has been served on the Fund by the intending plaintiff or his agent and the notice shall clearly state the —

(*a*) cause of action ;
(*b*) particulars of claim ;
(*c*) name and place of abode of the intending plaintiff ; and
(*d*) relief which he claims.

Service of documents.

19. A notice referred to in section 18 (2) of this Act, summons or other documents required or authorised to be served on the Fund under this Act or any other law or enactment may be served by —

(*a*) delivering it to the office of the Executive Secretary ; or

(*b*) sending it by registered post addressed to the Executive Secretary or the principal office of the Fund.

Restriction on execution.

20.—(1) In any action or suit against the Fund, no execution or attachment of process in any nature shall be issued against the Fund unless at least three months' notice of the intention to execute or attach has been given to the Fund.

(2) Any sum of money from the judgment of court awarded against the Fund or any direction given by the court where no notice of appeal against the judgment has been given, shall be paid from the account of the Fund.

Indemnity.

21. A member, the Executive Secretary or any employee of the Fund shall be indemnified out of the asset of the Fund against any liability incurred by him in defending any proceeding, whether civil or criminal, if the proceeding is brought against him in his capacity as a member, Executive Secretary or employee of the Fund.

Directives.

22. Subject to the provisions of this Act, the President may give to the Fund directives of a general nature or relating generally to matters of policy with regard to the performance by the Fund of its functions and the Fund shall comply.

Directions by the Minister.

23. Subject to the provision of this Act, the Minister may issue to the Board directions of general nature relating to matters of policy with regard to the exercise by the Board of its powers and the Board shall comply with such directions.

Power to make regulations.

24. The Minister may make regulations generally for the purpose of giving full effect to this Act.

Affixing of seal.

25. The affixing of the seal of the Fund shall be authenticated by the signature of the Executive Secretary and the Secretary.

Interpretation.

26. In this Act —

"*Board*" means the Governing Board of the Fund established under section 2 of this Act ;

"*Chairman*" means the Chairman of the Board ;

"*Executive Secretary*" is the Chief Executive Officer of the Fund and Chairman of the management committee ;

"*Functions*" includes powers and duties ;

"*Fund*" means the Fund established under section 1 (1) ;

"*member*" means an individual representing an organisation or institution in (the Board and includes the Chairman and Executive Secretary) ; and

"*Minister*" means the Minister charged with responsibility for matters relating to agriculture.

Citation.

27. This Act may be cited as the National Agricultural Development Fund (Establishment) Act, 2022.

SCHEDULE *Section* 3 (7)

SUPPLEMENTARY PROVISIONS RELATING TO THE PROCEEDINGS OF THE BOARD

1.—(1) Before member is appointed by the President, the Minister shall satisfy himself that, the person will have no interest or owe allegiance that may likely be prejudicial to the performance of his functions as a member.

(2) Any person whom the Minister nominates as a member shall discharge his duties as specified under this Act.

2.—(1) Subject to this Act and section 27 of the Interpretation Act, which provides for the decisions of a statutory body to be taken by a majority of the members of the body and for the persons presiding to have a second or casting vote, the Board may make standing orders regulating its proceedings or of any committee.

(2) The quorum at a meeting shall be one third of the members of the meeting.

3. The Board shall meet, at least three times in each year, whenever it is summoned by the Chairman and if the Chairman is required to do so, by notice to him of at least seven members, he shall summon a meeting of the Board to be held within seven days from the date on which the notice is given.

4. Where the Board wishes to obtain the advice of any person on any particular matter, the Board may invite any person as it deems fit, but the person who is invited by virtue of this paragraph shall not be entitled to vote at any meeting of the Board and shall not count towards a quorum.

5.—(1) The Board may appoint one or more committees to carry out, on behalf of the Board, such of its functions as the Board may determine.

(2) Every committee appointed under this paragraph shall consist of such number of persons as may be determined by the Board and not more than one third of those persons may be persons who are not members of the Board.

(3) A decision of a committee of the Board shall be of no effect until it is ratified by the Board.

6.—(1) Where a member has an interest in any application for loan for any project made or proposed by any beneficiary, such member shall disclose his interest at a meeting of the Board.

(2) The disclosure under this paragraph shall be recorded in the minute of the meeting and the member shall not take part after such disclosure in any deliberation or decision of the Board with regard to that particular subject matter in respect of which his interest was disclosed.

I, certify, in accordance with Section 2 (1) of the Acts Authentication Act, Cap. A2, Laws of the Federation of Nigeria 2004, that this is a true copy of the Bill passed by both Houses of the National Assembly.

OJO O. A., fnia, fcia
Clerk to the National Assembly
29*th Day of September,* 2022.

EXPLANATORY MEMORANDUM

This Act establishes the National Agricultural Development Fund for the purpose of providing funding for agricultural development.

SCHEDULE TO THE NATIONAL AGRICULTURAL DEVELOPMENT FUND (ESTABLISHMENT) BILL, 2021

(1) *Short Title of the Bill*	(2) *Long Title of the Bill*	(3) *Summary of the Contents of the Bill*	(4) *Date Passed by the Senate*	(5) *Date Passed by the House of Representatives*
National Agricultural Development Fund (Establishment) Bill, 2022.	An Act to establish the National Agricultural Development Fund for the puirpose of providing funding for agricultural development in Nigeria ; and for related matters.	This Act seeks to establish National Agricultural Development Fund for the purpose of providing funding for agricultural development in Nigeria.	27th July, 2022.	27th July, 2022.

I certify that this Bill has been carefully compared by me with the decision reached by the National Assembly and found by me to be true and correct decision of the Houses and is in accordance with the provisions of the Acts Authentication Act Cap. A2, Laws of the Federation of Nigeria, 2004.

LS

OJO, O. A., fnia, fcia
Clerk to the National Assembly
29*th Day of September,* 2022.

MUHAMMADU BUHARI, GCFR
President of the Federal Republic of Nigeria
28*th Day of October,* 2022.